COMM1180 VALUE CREATION
FINAL EXAM CASE STUDY

Ember & Bloom Pty Ltd

Creating Value Through Australian Manufacturing

Company Background

Ember & Bloom Pty Ltd is a privately owned Australian manufacturer of premium candles and home fragrance products based in Geelong, Victoria. Founded in 2020 by two industrial designers and a former marketing executive, the company was established with the goal of creating beautifully designed, environmentally responsible products made using locally sourced natural ingredients wherever possible.

The founders noticed increasing consumer interest in home décor, self-care and wellness, particularly following the COVID-19 pandemic. While many candles sold in Australia were inexpensive imports made from paraffin wax, they believed there was growing demand for Australian-made products using natural waxes, locally inspired fragrances and reusable packaging.

Today Ember & Bloom employs 88 people across manufacturing, product design, marketing, sales, logistics and administration. The company manufactures all products at its Geelong facility and supplies customers through its online store, boutique gift retailers, homewares stores and selected department stores.

For the year ending 30 June 2026, annual revenue reached approximately A**$21 million**.

Product Portfolio

Ember & Bloom produces four major product ranges.

Signature Soy Collection

The company's largest range consists of hand-poured candles made primarily from Australian-grown soy wax blended with small amounts of natural coconut wax to improve burn performance. Popular fragrances include Coastal Eucalyptus, Kakadu Plum, Lemon Myrtle and Tasmanian Lavender.

Native Botanicals Collection

This premium collection uses Australian native essential oils and fragrances sourced from regional suppliers. Products are positioned as luxury home fragrance items and attract higher profit margins.

Wellness Collection

Designed for customers seeking relaxation and mindfulness, this range includes candles, reed diffusers and room sprays featuring calming scents such as sandalwood, chamomile and lavender.

Seasonal Collection

Limited-edition fragrances are released throughout the year for occasions such as Mother's Day, Christmas and Valentine's Day. These products generate strong short-term demand but create forecasting challenges due to their seasonal nature.

Customers can also personalise candles with customised labels for weddings, birthdays, corporate gifts and special events.

Customer Segments

Market research conducted during 2026 identified four major customer segments.

Segment 1: Young Adults (18–30 years)

Representing approximately **30% of annual sales**, this segment purchases candles as affordable home décor and lifestyle products. Social media, influencer recommendations and attractive packaging strongly influence purchasing decisions. Many customers are renters decorating apartments and frequently purchase during sales or promotional events.

Segment 2: Homeowners and Professionals

Approximately **35% of revenue** comes from working professionals aged 30–50 who value premium quality, Australian-made products and sophisticated fragrances. These customers purchase repeatedly throughout the year and are less sensitive to price than younger consumers.

Segment 3: Gift Buyers

Gift purchases account for approximately **20% of sales**. Customers buy products for birthdays, weddings, Mother's Day, Christmas and corporate gifts. Attractive packaging and premium presentation are particularly important for this segment.

Segment 4: Hospitality and Corporate Clients

Hotels, boutique accommodation providers, real estate agencies and businesses account for the remaining **15% of sales**. These customers purchase customised products in larger quantities and value consistent quality, reliable delivery and branding opportunities.

Manufacturing Operations

Ember & Bloom manufactures all products in Geelong using automated wax melting equipment combined with hand-finishing techniques.

The company sources Australian-grown soy wax wherever possible. Essential oils and botanical ingredients are purchased from suppliers across Victoria, Tasmania and Western Australia. Glass jars are manufactured in South Australia, while timber lids are produced using plantation-grown Australian hardwood.

Some specialised fragrance compounds and cotton wicks must still be imported because equivalent Australian suppliers are not currently available.

The factory currently operates at approximately **82% of production capacity**, producing around **650,000 candles and fragrance products annually**.

Management believes further growth may require investment in additional automated filling equipment.

Sustainability Strategy

Sustainability is central to Ember & Bloom's brand identity.

Current initiatives include:

- Australian-grown soy wax as the primary raw material.
- Refillable candle containers introduced in selected product ranges.
- Recyclable packaging using FSC-certified cardboard.
- Glass jar return program offering customer discounts.
- Solar panels supplying approximately 40% of factory electricity.
- Partnerships with local suppliers to reduce transport distances.

Despite these achievements, management continues to face several sustainability challenges.

Glass manufacturing remains energy intensive.

Reusable packaging increases production costs.

Some customers return empty jars for recycling, while many dispose of them through household waste.

Management is considering replacing standard glass containers with recycled glass, although this would increase raw material costs by approximately **8%**.

The Sustainability Manager argues stronger environmental performance will reinforce the company's premium positioning.

The Finance Manager questions whether customers will accept higher prices during a period of rising living costs.

Market Environment

The Australian home fragrance market has experienced strong growth over the past decade.

Consumers increasingly purchase candles not only for fragrance but also as decorative lifestyle products associated with relaxation, wellness and home aesthetics.

Competition comes from imported products sold through discount retailers, international luxury brands and numerous small artisan manufacturers operating through online marketplaces.

Recent market research found:

- 74% of consumers consider product quality more important than price when purchasing premium candles.
- 68% prefer Australian-made products when prices are comparable.
- 63% consider sustainability when choosing home fragrance products.
- 57% purchase candles as gifts.
- 71% discover new brands through Instagram, TikTok and Pinterest.

Although premium products continue to perform well, consumers are becoming more selective about discretionary spending due to increasing household expenses.

Marketing Challenges

Ember & Bloom currently allocates its marketing budget as follows.

Marketing Activity	Budget Allocation
Instagram & TikTok	34%
Influencer Partnerships	18%
Email Marketing	15%
Google Search	13%
Retail Promotions	12%
Lifestyle Magazines & Events	8%

A customer survey involving 3,000 respondents revealed:

- 79% valued Australian-made products.
- 73% considered fragrance the most important purchase factor.
- 61% were attracted by sustainable packaging.
- 56% had purchased because of social media recommendations.
- Only 29% had participated in the refillable jar program.

Senior managers disagree about future marketing priorities.

The Marketing Manager recommends expanding influencer partnerships targeting younger consumers.

The Sales Manager argues that growing hospitality and corporate sales would provide more stable revenue throughout the year.

The Product Development Manager proposes expanding refillable product lines to strengthen sustainability credentials.

The Finance Manager believes the company should simplify its product range to reduce inventory costs and improve profitability.

Financial Performance

Income Statement (Year Ended 30 June 2026)

	$
Sales Revenue	21,000,000
Cost of Goods Sold	12,600,000
Gross Profit	8,400,000
Operating Expenses	6,300,000
Profit Before Tax	2,100,000
Income Tax Expense	630,000
Net Profit	1,470,000

Balance Sheet (Extract)

Assets	**$**
Cash	1,350,000
Accounts Receivable	1,900,000
Inventory	2,850,000
Property, Plant & Equipment	9,200,000
Total Assets	15,300,000

Liabilities and Equity	**$**
Accounts Payable	1,700,000
Bank Loan	4,200,000
Total Liabilities	5,900,000
Shareholders' Equity	9,400,000

Proposed Expansion

Management is considering introducing a **Smart Home Fragrance System**, combining refillable fragrance cartridges with an app-controlled electric diffuser.

The new product would allow customers to schedule fragrance intensity, receive automatic refill reminders and reorder cartridges through the company's website.

The project would require investment of **$3.1 million** in automated filling equipment and electronic assembly facilities.

The equipment has an expected useful life of **8 years** with no residual value.

Management forecasts first-year sales of **45,000 units**.

The expected selling price is **$170 per unit**, while estimated variable manufacturing cost is **$96 per unit**.

Additional fixed operating costs would total **$920,000 annually**.

Some executives believe the innovation would differentiate Ember & Bloom from traditional candle manufacturers.

Others worry that moving into technology products may distract from the company's core brand identity centred on handcrafted Australian-made products.

Information Technology and Digital Transformation

Ember & Bloom currently operates separate systems for inventory management, manufacturing, online sales and customer loyalty.

As the business has grown, these systems have become increasingly difficult to manage.

Inventory discrepancies occasionally delay retailer orders.

Marketing staff cannot easily analyse repeat purchasing across different sales channels.

Customer service employees often need to access multiple systems to answer enquiries.

Management is considering implementing a cloud-based Enterprise Resource Planning (ERP) system costing approximately **$850,000** over two years.

Expected benefits include:

- Improved inventory accuracy.
- Better demand forecasting for seasonal products.
- Faster customer order processing.
- Integrated financial reporting.
- Enhanced customer relationship management.

Implementation would require significant employee training and temporary disruption to production.

Looking Ahead

Ember & Bloom has successfully built a premium Australian brand based on local manufacturing, natural ingredients and sustainable business practices. However, continued growth will require difficult strategic decisions.